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Forecast Report — October 2026 to June 2027

2026 full-year outturn and nine-month cash forecast

Board meeting 29 October 2026 (virtual)
Opening position Xero 30 September 2026; cash checked live 12 October 2026
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Currency USD; GBP and EUR converted at Xero rates of late Sep / early Oct 2026
Companion paper Board Finance Report, Q3 2026

1. Headline

The 2026 deficit comes from income timing and SDC co-funding, not overspending. Core (OSF) activity runs a surplus of about USD 30,431. Even so, **cash runs short twice before the OSF Year-3 tranche arrives in January 2027**: at the 28 October payment run, and in December.

- **2026 outturn (central):** expenditure USD 509,568, which is 4.3% over the working budget (USD 488,450) and 19% under the board-approved budget (USD 631,450). Income USD 468,581. Reported deficit USD 40,987.
- **What drives the deficit:** SDC co-funding USD 45,660; grant income earned in 2026 but claimable only in 2027, USD 33,614. These are partly offset by the core surplus.
- **Cash, central case:** USD (6,101) at end-October, USD 13,202 at end-November (after the FCDO claim), USD (21,230) at end-December, then USD 269,219 at end-January once OSF pays.
- **Even with a complete spending freeze, cash is short:** USD (1,101) in October and USD (6,230) in December. Cutting costs alone cannot fix this; the receipts have to come earlier.
- **What fixes it:** OSF releasing the January tranche in December (it paid in December in 2024) **or** Stimson paying the FCDO claim on receipt and Swiss tranche 2 in December, together with a freeze on discretionary spending.

Decisions needed (D2–D4 in the Board Finance Report)

Freeze discretionary spending (travel, meetings, partner grants, new consultancy) until the OSF tranche is received. FCDO-reimbursable activity is exempt.

Authorise the ED to ask OSF in writing to release the Year-3 tranche in early December 2026, and to ask Stimson to pay FCDO claim 1 on receipt and Swiss Myanmar tranche 2 in December.

Agree a payment order for the 28 October run if the shortfall is not covered by then. Proposed: the Chair's stipend and other non-staff bills are deferred to November.

Mandate the ED and Chair to arrange a standby bridge of up to USD 75,000 (enough to cover the FCDO claim slipping to January). Use it only if neither OSF nor Stimson confirms by 20 November.

2. 2026 full-year outturn

Accrual basis, central case. Q4 is built from committed costs (repeating invoice templates, approved bills, the Communications Advisor's monthly invoice) plus USD 5,000 a month of programme and travel spending.

USD	Actual YTD (9 mo)	Forecast Q4	Forecast FY 2026	Working budget	Board budget
Income	415,681	52,900	468,581	488,450†	631,450†
Expenditure	401,897	107,671	509,568	488,450	631,450
Net surplus / (deficit)	**13,783**	**(54,771)**	**(40,987)**	**–**	**–**
Net assets at year-end (Xero basis)			(17,194)		
Add: earned grant income to accrue (FCDO II Nov–Dec, Swiss Myanmar)			33,614		
Adjusted net assets at 31 Dec 2026			**16,420**		

† Both budgets were set as balanced plans: the funding columns equal planned spend. Income includes FCDO Phase II claim 1 (Jun–Oct, about USD 52,800) on the basis that it is invoiced in October.

Where the deficit comes from

Driver	USD
SDC final-year co-funding (Art. 1.2 — FDFA covers max 50%)	(45,660)

Restricted timing — spent in 2026, claimable in 2027 (FCDO II Nov–Dec + Swiss Myanmar)	(33,614)
FCDO Phase I — 2026 receipts covering 2025 spend	8,133
FCDO Phase II Jun–Oct — claim matched to spend	–
Core (OSF #4 + interest) — income less core spend	30,431
FX revaluation and legacy codes	(277)
Reported 2026 deficit (central)	**(40,987)**

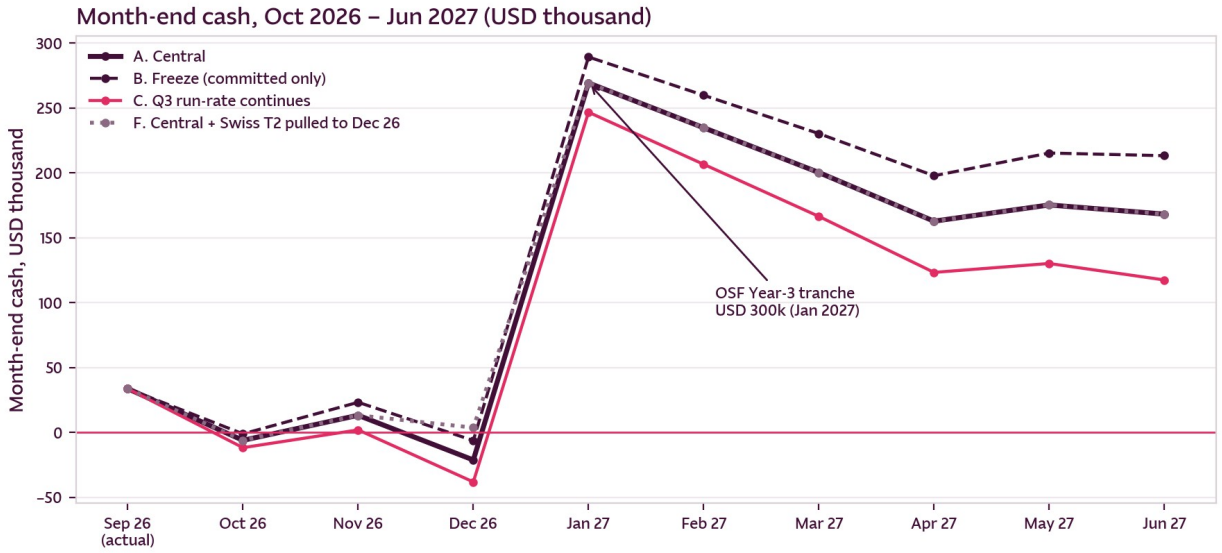
- **SDC co-funding is a one-off.** SDC closed on 30 April and is fully drawn, so this does not recur in 2027.
- **The timing items reverse in 2027.** FCDO Phase II Nov–Dec costs are claimed in the April 2027 report, and the Swiss Myanmar costs are covered by tranches 2 and 3.
- **Core is in surplus.** OSF-funded spending of about USD 271,268 is below the USD 286,635 working-budget allocation and inside the USD 300,000 tranche.

Expenditure by budget line — full-year forecast

Budget line	Working budget	Board budget	Actual YTD	Forecast FY	FY vs working
Executive Director	170,400	170,400	127,800	170,400	–
COLA	21,600	21,600	16,931	22,499	899
Senior Legal Advisor	–	120,000	–	–	–
Programme Manager	42,000	42,000	34,000	44,500	2,500
Project Manager (Rohingya Manager)	31,250	31,250	22,500	30,000	(1,250)
Communications Advisor	64,800	64,800	48,462	64,612	(188)
Communication Support	14,400	14,400	11,867	13,815	(585)
Finance Manager	24,000	24,000	18,000	22,000	(2,000)
Operations Support	18,000	18,000	6,267	7,195	(10,805)
Vehicle Hire & Sundry	6,000	6,000	2,286	2,886	(3,114)
Volunteer Stipends	12,000	12,000	12,334	12,334	334
Partner Expenses (Azadi)	30,000	30,000	14,000	18,000	(12,000)
Lawyer Fees	12,000	24,000	4,363	4,363	(7,637)
Audit	3,000	3,000	2,822	2,822	(178)
Board Meetings	4,000	4,000	8,936	8,936	4,936
Technology & Software	5,000	5,000	5,469	6,527	1,527
Travel Expenses	25,000	36,000	39,178	47,578	22,578
Fees (bank)	5,000	5,000	511	678	(4,322)
Unbudgeted — Confidence Building Measures (FCDO I funded)	–	–	14,598	14,598	14,598
Unbudgeted — Meeting Expenses	–	–	8,930	10,930	10,930

Unbudgeted — Project Consultants	–	–	2,294	4,545	4,545
Unbudgeted — Depreciation	–	–	114	114	114
FX revaluation	–	–	235	235	235
Total	**488,450**	**631,450**	**401,897**	**509,568**	**21,118**

3. Cash forecast — October 2026 to June 2027



Month-end closing cash, USD. Central case below. Every column is one month of cash in and cash out.

USD	Oct 26	Nov 26	Dec 26	Jan 27	Feb 27	Mar 27	Apr 27	May 27	Jun 27
Opening cash	**33,679**	**(6,101)**	**13,202**	**(21,230)**	**269,219**	**234,722**	**200,225**	**162,728**	**175,230**
Executive Director	14,200	14,200	14,200	14,200	14,200	14,200	14,200	14,200	14,200
Communication Advisor	5,383	5,383	5,383	5,383	5,383	5,383	5,383	5,383	5,383
Advocate / Programme Manager	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500
Rohingya Manager (cash)	1,500	1,500	2,435	2,500	2,500	2,500	2,500	2,500	–
Cost of Living Allowance (GBP 1,400)	1,856	1,856	1,856	1,856	1,856	1,856	1,856	1,856	1,856
Finance Manager (SK Das)	2,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000
Communication Support	649	649	649	649	649	649	649	649	649
IT & software	353	353	353	353	353	353	353	353	353
Bank charges	56	56	56	56	56	56	56	56	56
One-off committed bills	5,283	–	–	–	–	–	3,000	–	–
Programme & travel (central)	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000
Total cash out	**39,780**	**33,497**	**34,432**	**34,497**	**34,497**	**34,497**	**37,497**	**34,497**	**31,997**
FCDO Phase II claim Jun–Oct 2026 (Schedule 2, ind. Nov 2026)	–	52,800	–	–	–	–	–	–	–
OSF #4 Year-3 tranche (contract: January 2027)	–	–	–	300,000	–	–	–	–	–

Swiss Myanmar tranche 2 (§3.3: 31 Jan 2027)	–	–	–	24,947	–	–	–	–	–
FCDO Phase II final claim Nov 26–Mar 27 (ind. May 2027)	–	–	–	–	–	–	–	47,000	–
Swiss Myanmar tranche 3 (§3.3: 30 Jun 2027)	–	–	–	–	–	–	–	–	24,947
Closing cash	**(6,101)**	**13,202**	**(21,230)**	**269,219**	**234,722**	**200,225**	**162,728**	**175,230**	**168,180**

Scenarios — month-end closing cash (USD)

Scenario	Oct 26	Nov 26	Dec 26	Jan 27	Feb 27	Mar 27	Apr 27	May 27	Jun 27
A. Central	(6,101)	13,202	(21,230)	269,219	234,722	200,225	162,728	175,230	168,180
B. Freeze (committed only)	(1,101)	23,202	(6,230)	289,219	259,722	230,225	197,728	215,230	213,180
C. Q3 run-rate continues	(11,737)	1,930	(38,138)	246,675	206,542	166,409	123,276	130,142	117,456
D. Central, FCDO claim slips to Jan 27	(6,101)	(39,598)	(74,030)	269,219	234,722	200,225	162,728	175,230	168,180
E. Central + OSF released early Dec 26	(6,101)	13,202	278,770	269,219	234,722	200,225	162,728	175,230	168,180
F. Central + Swiss T2 pulled to Dec 26	(6,101)	13,202	3,717	269,219	234,722	200,225	162,728	175,230	168,180

A: USD 5,000/month programme and travel. B: committed costs only. C: Q3's average variable spend continues (USD 10,636/month). D: as A, but FCDO claim 1 slips to January. E: as A, with OSF paying in early December. F: as A, with Swiss Myanmar tranche 2 pulled into December.

- **Every scenario is short in October.** This is the 28 October payment run; no scenario brings receipts in before it.
- **December is short unless one receipt moves earlier.** Freeze + Swiss tranche 2 in December closes at about USD 18,717; OSF in December closes at about USD 278,770.
- **If the FCDO claim slips to January, the low point is USD (74,030) at end-December.** That is why the standby bridge is sized at USD 75,000.
- **After January, cash recovers to about USD 269,219** and stays above three months of the floor through June 2027 in cases A and B. In case C it falls to about USD 117,456 by June, which is the warning for the 2027 budget.

4. The October pinch point

Item	Date	USD
Cash at 12 October (Wise USD 2,456 + EUR 28,872)	12 Oct	31,329
Chair stipend Q3 — EUR 2,000 (awaiting approval)	due 15 Oct	(2,251)
Free Thought Ltd — GBP 700, speech support (awaiting approval)	due 15 Oct	(928)
Payment run: ED 14,200; Comms Advisor ~5,383; Programme Mgr 3,500; Finance Mgr 2,000; COLA GBP 1,400; Rohingya Mgr 1,500 (net of advance); comms support, IT, bank	25 → 28 Oct	(29,497)
Position after the run, before any programme or travel spend	**28 Oct**	**(1,347)**

Options before 28 October, in order of preference: (1) re-state FCDO claim 1 in GBP from ledger actuals and submit it early, asking Stimson to pay on receipt (cl. 6.5 rules out advances, but claim 1 covers costs already incurred); (2) defer the two non-staff bills (about USD 3,180) to November; (3) if still short, the board agrees which roster payment is delayed and for how long. Any deferral of the ED's fee is a related-party matter for the board, and Legal should advise first.

Correction to the 12 October dashboard note (CAP-520): *that note put end-October cash at about USD 5,100. It left out the Communications Advisor's monthly invoice (about USD 5,383), which is raised by hand and not from a template, and Communication Support (about USD 649). The correct figure is shown above.*

5. Change since the August cash plan

The August cash ceiling (CAP-389, 18 August) projected September USD 50,800, October USD 21,650, November USD 29,700 and December USD 550.

Month-end	August plan	Now (freeze case B)	Change	Why
Sep 2026	50,800	33,679	(17,121)	Aug closed USD 3,837 below plan. Sep net cash decline was USD 42,433 against a USD 29,150 ceiling: Tavy Cussinel F-2026-002 GBP 4,000 (USD 5,303), New York accommodation USD 4,759 and Pennyhill Park balance GBP 1,888 (USD 2,525); other lines net USD 696 over
Oct 2026	21,650	(1,101)	(22,751)	Sep shortfall carried forward (USD 17,121); Oct bills not in the plan (Chair stipend, Free Thought, SK Das Sep fee paid 1 Oct) USD 5,283; floor USD 347 above ceiling
Nov 2026	29,700	23,202	(6,498)	October shortfall carried forward (USD 22,751), partly offset by a larger FCDO claim (+USD 15,600): about USD 52,800, not USD 37,200, because Schedule 2's first period runs June–October, not June–September
Dec 2026	550	(6,230)	(6,780)	November shortfall carried forward (USD 6,498); December floor USD 282 above the ceiling

6. Assumptions

Area	Assumption	Source
Opening cash	USD 33,679.30 at 30 Sep 2026	Xero Balance Sheet `052baafa`
Roster	ED USD 14,200; Programme Mgr 3,500; Rohingya Mgr 2,500 (cash 1,500 until the advance clears in Dec); COLA GBP 1,400; SK Das 2,000 in Oct, 1,000 from Nov	Xero repeating templates; CAP-485 fee decision (effective date to confirm)
Communications	Advisor USD 5,383/month and Support USD 649/month (Q3 averages); the Advisor's invoice is raised by hand	Xero P&L Q3
Overheads	IT USD 353, bank USD 56 per month (Q3 averages)	Xero P&L Q3
Programme & travel	Central USD 5,000/month; Freeze nil; Q3 run-rate USD 10,636/month	Q3 spend above the committed floor
FCDO Phase II	Claim 1 (Jun–Oct) about USD 52,800 in late Nov; claim 2 (Nov–Mar) about USD 47,000 in May 2027; both within the £80,884.70 ceiling	Sub-grant Sched. 2; ledger USD 43,847.67 to 30 Sep + Oct roster share
OSF #4	USD 300,000 on about 22 Jan 2027 (the 2026 tranche landed 22 Jan)	Award letter p.1
Swiss Myanmar	USD 24,946.67 on 31 Jan 2027; USD 24,946.66 on 30 Jun 2027	Partnership Agreement §3.3
Rohingya Manager	Template and Swiss Myanmar term end May 2027; no cost from June 2027	§17; Xero template
Audit	2026 audit about USD 3,000, paid April 2027	Deferred per ED, May 2026
Excluded	Any new grant, the Q4 Chair stipend (paid in arrears, Jan 2027), FX movements, interest	Prudence
FX	GBP/USD 1.3258; EUR/USD 1.1255	Xero rates on late-Sep / early-Oct

		transactions

Proposed year-end accrual (draft, for auditor agreement)

Assets increase with a debit; income increases with a credit. FCDO Phase II and Swiss Myanmar costs incurred in 2026 have earned the grant income, but it is invoiced in 2027, so we recognise an accrued-income asset and the matching restricted income:

Dr Accrued income — grants (current asset) USD 33,614.00
Cr Grant income — FCDO Phase II (restricted) USD 17,260.00
Cr Grant income — Swiss Myanmar (restricted) USD 16,354.00

Debits USD 33,614.00 = credits USD 33,614.00. The entry is balanced. This would be a draft manual journal at 31 December 2026 and is reversed when the invoices are raised.